- ***Does Free trade benefit everyone? Critically Analyze.***

Ans: Free trade benefits countries by allowing them to exchange goods and services without restrictions like tariffs or quotas. It leads to more efficient production, lower prices for consumers and greater competition, which can encourage innovation. It also stimulates economic growth by opening up markets and providing access to resources that may not be available domestically. However, not all sectors benefit equally, and some industries may face challenges due to increased competition.

The importation of goods into Bangladesh has various effects on different groups in the economy.

Products that we Don't produce at all Oil/fuels/Petroleum products from Middle East Military weapons like Mig29 from Russia Semi Conductors from China/Taiwan Raw materials of Garments & Pharmaceutical Industry from USA/China Rail Bogey from India/ China
Products that we import & produce as well Beauty products & Cosmentics Domestic : Meril, Tibet, Cosco, Cute Import : Lux, Dove, Clear Chocolates Electronics
Low Priced import product Brown Sugar, Onion (India), Rice (Thailand, Vietnam, Myanmar), Electronics & Toys (China)
Luxary Goods Cars (BMW, LEXUS, Marcedes, Audi), Perfumes

Ref : class lecture (11/03/2025)

We generally import creating both benefits and conflicts. Producers often face increased competition from cheaper or higher-quality foreign products, which can harm local industries and lead to job losses. However, certain imports, like machinery or raw materials, can help local producers improve productivity and efficiency. Consumers generally benefit from the availability of a wider range of goods, often at lower prices, increasing their purchasing power. But this can also lead to long-term challenges if local industries suffer from foreign competition, potentially resulting in unemployment or slower economic growth. The general public, particularly workers in affected sectors, may experience negative impacts, such as job losses, especially in rural areas where local industries struggle against cheaper imports.

- ***How to ensure free trade in agriculture?***

Free Trade Definition :

WTO Agreements

The WTO Agreement on Agriculture (AoA) focuses on three key areas: **market access, domestic support, and export subsidies.**

Market Access

The agreement aimed to improve access to agricultural markets by converting non-tariff barriers into tariffs (tariffication) and reducing tariffs. Developed countries were required to reduce tariffs by 36%, while developing countries had to reduce them by 24%. Minimum access was also established, requiring countries to allow a certain percentage of imports.

Domestic Support

Domestic support measures were classified into three categories:
Amber Box: Trade-distorting subsidies like price supports, which are subject to reduction commitments.
Blue Box: Subsidies that limit production but are less distorting, with more flexible reduction rules.
Green Box: Measures with minimal trade distortion, such as environmental programs, which are exempt from reductions.

Export Subsidies

The AoA imposed limits on export subsidies, aiming to reduce trade distortions. Developed countries had to reduce their subsidy expenditures by 36% and subsidized export volumes by 21%. Developing countries had lower reduction commitments of 24% for expenditures and 14% for volumes.

These provisions were designed to liberalize agricultural trade, though they have faced criticism, particularly from developing countries.

Input Subsidies : Ensuring input subsidies for the agriculture sector requires a balanced approach that promotes both immediate support for farmers and long-term sustainability.

It's crucial to improve the efficiency of subsidy distribution. This means eliminating inefficiencies, corruption, and leakages through better management systems, such as using digital platforms for direct transfers to farmers. A well-organized distribution system ensures that the subsidies reach their intended recipients without delays or misuse.

Subsidies should focus on critical agricultural inputs, like seeds, fertilizers, irrigation, and machinery, to lower farmers' costs and enhance productivity. At the same time, sustainability should be a key consideration. Input subsidies can promote eco-friendly practices by supporting the use of organic fertilizers or water-saving technologies which is increasingly important in the face of climate change.

Financial resilience such as single payment, credit access, insurance, and market systems. This gradual transition will reduce dependency on subsidies and promote sustainable growth in the agriculture sector.

Safety Net Program

EU : 600million Euro

Bangladesh :

Budget allocation in 2024-25 in Agriculture (Amount + % in GDP)

Tk 27,214 Cr proposed (6% of Total Budget) 11.02% of GDP

• *What are the promises & reality of Free Trade?*

<u>Promises of Free Trade</u> :

▪ **Fair Competition** (Consumers will benefited with lower/stable/efficient price & higher quality products)
▪ **Producers benefited** (New Demand will be created with no tariff)
▪ **Comparative Advantage applied** (Production will shift to the most efficient productive country)
▪ **Expansion of Private Sector**

Ref: Class Lecture (10/04/25)

<u>From Article :</u> In 1996, at the World Food Summit in Rome, governments agreed that trade was crucial for achieving food security. <u>The declaration emphasized pursuing trade policies that would encourage the sustainable use of resources by both producers and consumers.</u> Historically, agriculture had been isolated from global trade negotiations, but this changed with the Uruguay Round of trade talks in the late 1980s and early 1990s. The Uruguay Round led to the creation of the World Trade Organization (WTO) and the Agreement on Agriculture, <u>which set binding rules for agricultural trade.</u>
The proponents of <u>linking food security with free trade</u> argued that liberalizing agricultural markets by <u>removing subsidies, reducing tariffs, and eliminating government-controlled food stocks would lead to higher world market prices,</u> benefiting efficient farmers. Consumers would benefit from lower prices due to increased competition, while production efficiencies would arise from focusing on countries with a comparative advantage in certain crops. Even farmers who couldn't compete would supposedly benefit through economic development, with displaced labor finding new opportunities in cities or other sectors.
<u>The Uruguay Round was aimed at controlling industrialized countries' agricultural subsidies and allowing developing countries to capitalize on their comparative advantage by exporting cheap agricultural commodities.</u>

<u>Free trade reality</u>

Rich Countries have a cheaper access to raw materials for processing industries. That's fueling them to continue industrialisation since colonial period.

Developing Countries have no new access to the market. Foreign Agro products flooding the market that doesn't create any incentives for the local producers. Local dairy or poultry industry are counting losses.

Local farmers & producers of the **poor countries** have to accept greater amount of imports.

Another problems with the AoA had to do with **trade distortions.** For instance, the agreement entirely ignored oligopolistic market power in the world (and many domestic) agricultural commodity markets. Yet, oligopolistic market power is a fact: for many agricultural commodities, three to five **Giant Corporations** are controlling 40% of global market. Soya bean, Sugar, Salt, Beef, Cotton etc. are being controlled by large industries like WALMART, CARGILL, NESTLE etc. who are creating monopoly/oligopoly. Ultimately the market power is being concentrated. NESTLE profiting $9.7billion (greater than the GDP of 65 countries in 2007) WALMART gaining $13.3billion as the globally largest grocer. (more than the 2007 GDP of almost half the countries in the world (eighty-eight in total) in profits alone (sales revenue was in the hundreds of billions of dollars).

That is With this market power comes the ability to both predict (and, to some extent, set) prices, the political clout to affect trade and investment policy in many of the more than one hundred countries in which the biggest firms operate, and the power to keep would-be competitors at bay. *(Source : Class Lecture 10/04/25)*

- ***How does EU subsidy maniputlate or harm the developed countries?***
  or, ***How EU Subsidies hurt dairy producers in Bangladesh?***

Ans:

European dairy subsidies, primarily <u>under the Common Agricultural Policy (CAP),</u> have long been detrimental to dairy producers in developing countries like Bangladesh. These subsidies <u>enable European farmers to export milk powder at</u>

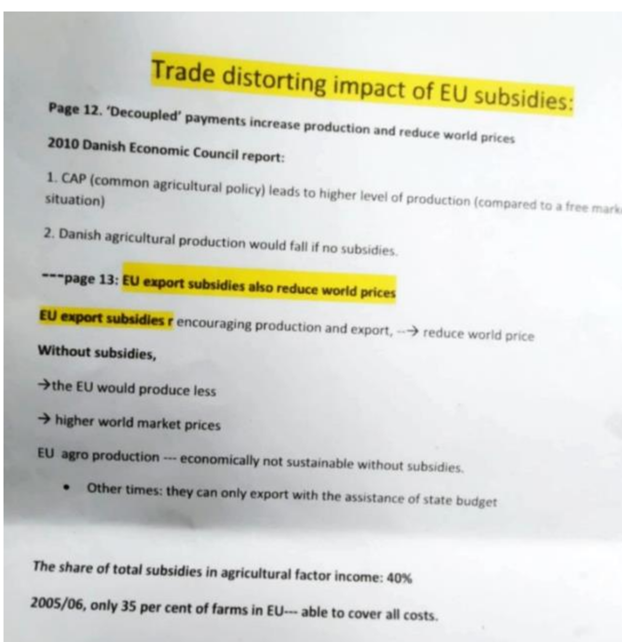
<u>prices below production costs, which undermines local producers in Bangladesh by making it difficult for them to compete.</u> **The EU's subsidies depress world market prices, further harming developing countries' dairy industries and pushing their exporters out of third markets.**

The subsidies enable such major impacts on developing countries like Bangladesh:

1. Price Undercutting: The EU's subsidized exports flood international markets with cheap milk powder, including Bangladesh, at prices that local producers cannot match. This <u>makes it difficult for Bangladeshi dairy farmers to sell their locally produced milk at competitive prices,</u> <u>forcing them to lower their prices to compete with the artificially low-cost imports</u>. As a result, <u>local dairy farmers face a</u> significant <u>reduction in income, sometimes even below the cost of production</u>.

In developing countries like Bangladesh, dairy farming is an essential livelihood for millions of small-scale farmers, many of whom rely on selling milk for their income. However, when subsidized European milk powder enters the market at lower prices, these farmers are unable to sell their milk or sell it at a price that makes their operation sustainable. This has a direct negative impact on their ability to support themselves and their families.

Studies have shown that the EU's export subsidies lower world market prices. For instance, the removal of EU export subsidies could lead to a 16.7% increase in world



Trade distorting impact of EU subsidies:

Page 12. 'Decoupled' payments increase production and reduce world prices

2010 Danish Economic Council report:

1. CAP (common agricultural policy) leads to higher level of production (compared to a free marke situation)

2. Danish agricultural production would fall if no subsidies.

---page 13: **EU export subsidies also reduce world prices**

EU export subsidies r encouraging production and export, --→ reduce world price

Without subsidies,

→the EU would produce less

→ higher world market prices

EU agro production --- economically not sustainable without subsidies.

- Other times: they can only export with the assistance of state budget

The share of total subsidies in agricultural factor income: 40%

2005/06, only 35 per cent of farms in EU--- able to cover all costs.

dairy prices. This would help increase the income of local dairy producers in developing countries by allowing them to sell their milk at a higher price. However, with the EU continuing to subsidize exports, world prices remain suppressed, harming developing countries' dairy industries.

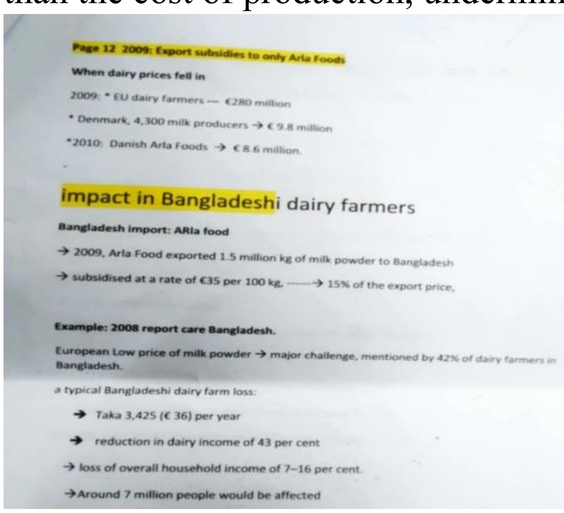
******2. EU's 'Decoupled' Subsidies and Their Continued Impact**

<u>In 2005, the EU decided to **decouple subsidies from production levels**</u>. This means <u>subsidies were no longer directly tied to how much a farmer produced.</u> The EU argued that this would reduce the distortion of international trade and agricultural markets. However, the total amount of subsidies remained the same, and <u>the new subsidy system did not reduce the negative impact on developing countries like Bangladesh.</u>

Green Box and Trade Distortion: The decoupled subsidies are classified in the WTO's "Green Box," meaning they are supposed to have minimal trade-distorting effects. However, the report shows that these subsidies still encourage increased production in the EU, which continues to depress global milk prices. The subsidies also make it harder for developing countries to support their local dairy industries, as they face unfair competition from subsidized imports.

*****3. The Role of Arla Foods and the Impact of Subsidies**

Arla Foods, a major Danish-Swedish dairy company, benefits greatly from EU subsidies. The company is one of the largest exporters of subsidized milk powder to Bangladesh. In 2009, for example, Arla exported 1.5 million kg of milk powder to Bangladesh, benefiting from substantial subsidies that reduced the price of the milk powder by 15%. This enables Arla to sell the milk powder at prices that are lower than the cost of production, undermining local milk producers in Bangladesh.



Page 12 2009: Export subsidies to only Arla Foods

When dairy prices fell in

2009: • EU dairy farmers — €280 million

• Denmark, 4,300 milk producers → € 9.8 million

•2010: Danish Arla Foods → € 8.6 million.

impact in Bangladeshi dairy farmers

Bangladesh import: ARla food

→ 2009, Arla Food exported 1.5 million kg of milk powder to Bangladesh

→ subsidised at a rate of €35 per 100 kg. ------→ 15% of the export price,

Example: 2008 report care Bangladesh.

European Low price of milk powder → major challenge, mentioned by 42% of dairy farmers in Bangladesh.

a typical Bangladeshi dairy farm loss:

→ Taka 3,425 (€ 36) per year

→ reduction in dairy income of 43 per cent

→ loss of overall household income of 7–16 per cent.

→Around 7 million people would be affected

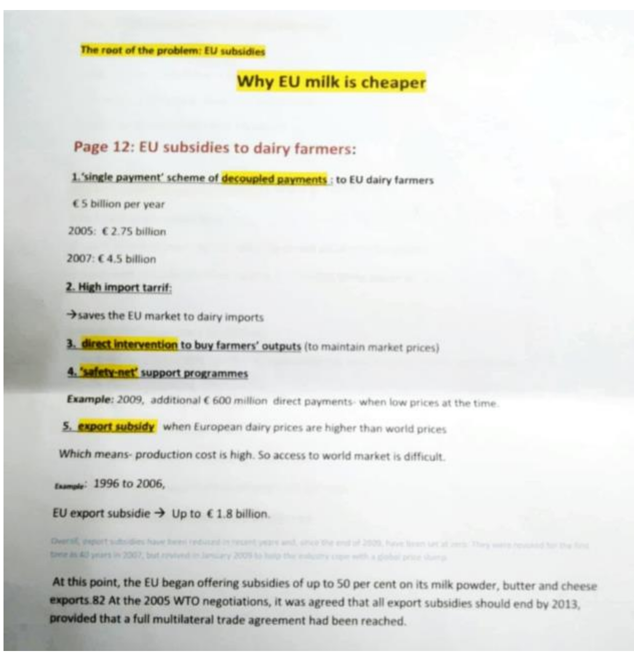
While Arla's CSR projects, such as providing milk to children in Bangladesh, seem

beneficial, they are also seen as a marketing strategy designed to increase the company's milk powder sales. The company profits from the EU's subsidies while local dairy farmers in Bangladesh struggle to survive, as these cheap imports undercut their prices and drive down their income.

4. The EU's Export Subsidies and Their Harmful Effects on Global Milk Prices

Between 1996 and 2006, the EU provided substantial export subsidies on dairy products, which ranged from €475 million to €1.8 billion. These subsidies allowed European dairy farmers to export milk powder, butter, and cheese at prices below their production costs, further depressing global milk prices. The EU reintroduced export subsidies in 2009 to address falling prices, but this has caused further damage to developing countries like Bangladesh, where dairy farmers are unable to compete with these low prices.

Impact on Bangladesh's Dairy Farmers: In 2009, the EU's export subsidies led to a reduction in world market prices, causing a loss of income for Bangladeshi dairy farmers. The average income for a Bangladeshi dairy farm dropped by 43% due to these low prices, which significantly reduced their household income.



The root of the problem: EU subsidies

Why EU milk is cheaper

Page 12: EU subsidies to dairy farmers:

1.'single payment' scheme of decoupled payments : to EU dairy farmers

€ 5 billion per year

2005: € 2.75 billion

2007: € 4.5 billion

2. High import tarrif:

→saves the EU market to dairy imports

3. direct intervention to buy farmers' outputs (to maintain market prices)

4. 'safety-net' support programmes

Example: 2009, additional € 600 million direct payments- when low prices at the time.

5. export subsidy when European dairy prices are higher than world prices

Which means- production cost is high. So access to world market is difficult.

Example: 1996 to 2006,

EU export subsidie → Up to € 1.8 billion.

At this point, the EU began offering subsidies of up to 50 per cent on its milk powder, butter and cheese exports.82 At the 2005 WTO negotiations, it was agreed that all export subsidies should end by 2013, provided that a full multilateral trade agreement had been reached.

In conclusion, the EU's dairy subsidies, despite being reformed in recent years, continue to harm dairy producers in developing countries like Bangladesh. By promoting the export of cheap milk powder and distorting global milk prices, these subsidies push local Bangladeshi farmers out of the market, depress their incomes, and stifle investment in the local dairy industry. The EU must reassess its agricultural policies to avoid further harm to developing countries and ensure that its trade and aid efforts align to support local industries and poverty reduction.

Other Questions from Lectures

(11/03/2025)

- **Does Free trade benefit everyone? Critically Analyze**
- What are the role of state when there is conflict?

(10/04/2025)

- Does Free trade in agriculture is a model for the rich? A serious alleagtion against WTO. What do you think?
- What about ineffecient producers?

- WTO wants to ensure fair competition. Does fair competition exists? Challenge this.

(17/04/2025)

- **How to ensure free trade in agriculture?**
- Who are the winners or loosers from trade liberalization?

Free trade benefit
Free trade Promise vs reality